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CASE #	CASE NAME	HEARING NAME
CVPS2501589	AMIRIANFAR vs BADDOUR, INDIVIDUALLY AND	MOTION FOR SUMMARY ADJUDICATION

Tentative Ruling:

Evidentiary objections

Plaintiffs' evidentiary objections to Declaration of Evan Kilbourne

The court sustains the objections to ¶¶ 23(b), 28-29, 43-45.

Defendant Baddour's evidentiary objections

Defendant Baddour has 24 evidentiary objections. The objections are overruled.

MSA

Issue One: Issue of Duty – Baddour owed Plaintiffs fiduciary, statutory, and professional duties

Plaintiffs claim Baddour owed them fiduciary, professional, and statutory duties as their broker and as a dual agent in the Lease Transaction. California law imposes fiduciary and professional duties on a broker who negotiates a lease transaction for compensation, including the duties of full disclosure and reasonable care. (Bus. & Prof. Code § 10131(b); *Montoya v. McLeod* (1985) 176Cal.App.3d 57, 65-66.) A real estate broker owes her principal “the highest good faith and undivided service and loyalty.” (*Lazar v. Bishop* (2024) 107 Cal.App.5th 668, 680.) That fiduciary duty requires the broker to disclose all information material to the principal’s interests. (*Id.*) A broker retained to perform licensed brokerage services also owes a professional duty to exercise the skill, prudence, and diligence of the profession reasonably requires in carrying out the agency. (See *Salahutdin v. Valley of California, Inc.* (1994) 24 Cal.App.4th 555, 562-63.)

California law also permits a broker to represent both sides of a real estate transaction, but only if the broker properly discloses the agency relationship and confirms it in writing. (Civ. Code, §§ 2079.14-2079.17. Under Civil Code § 2079.13, a leasehold transaction of more than one year falls within the statutory agency-disclosure framework, “buyer” includes a lessee, “seller” includes a lessor, and a “dual agent” includes an agent acting either directly or through an associate licensee for both sides of the same real property transaction. (Civ. Code, § 2079.13.)

In the present matter, the undisputed facts establish Baddour was Plaintiffs' broker. The Listing Agreement created, as a matter of law, a broker-principal relationship between Baddour and Plaintiffs. (UMF 7.) As Plaintiffs' exclusive broker, Baddour owed them fiduciary duties of utmost good faith, honesty, loyalty, and full disclosure, as well as the professional duty to exercise reasonable care in performing her agency obligations. (Civ. Code, § 2079.16.) The undisputed facts also establish Baddour acted as a dual agent in the Lease Transaction. She represented both lessor and lessee in a lease transaction exceeding one year. (UMDs 4-5, 7, 9.) As a dual agent, Baddour owed Plaintiffs fiduciary, statutory, and professional duties to disclose dual agency and obtain the informed written consent of all principals. (Civ. Code, § 2079.16, 2079.21.)

In addition, Plaintiffs offer expert testimony from Julie Newman, a California real estate broker with more than 20 years of experience, confirming the applicable standard of care. Ms. Newman opines California real estate brokers must ensure that dual agency is (1) clearly disclosed to the owner/seller or lessor; (2) immediately communicated; (3) made obvious and understandable to all parties'; and (4) always reduced to writing. (Newman Decl., ¶¶ 7-8.)

In the Opposition, Baddour does not dispute duty. She held a California broker's license contracted to represent Plaintiffs and supervised Wichter under her license. (UMS 1, 7, AUMFs 47-48.) Those facts imposed fiduciary, statutory, and professional duties on Baddour as Plaintiffs' broker and as a dual agent. (Civ. Code, §§ 2079.13-2079.17, 2079.24; Bus. & Prof. Code § 10137, *Horike v. Coldwell Banker Residential Brokerage Co.* (2016) 1 Cal.5th 1024, 1036-40.) Baddour's Opposition does not contend otherwise. Baddour argues she performed her duties; however, that is a breach argument not a duty argument.

Baddour identified no factual or legal dispute concerning duty; thus, Court adjudicates Issue 1 for Plaintiffs.

Issue 2: Plaintiffs' second cause of action for professional negligence

Plaintiffs seek summary adjudication as to their second cause of action against Baddour for failing to disclose dual agency in a commercial lease-option transaction, thereby causing Plaintiffs to lose the economic value of Kaiser's agreed tenant-improvement obligations and other lease-based economic rights, and alternatively, on the ground that collateral estoppel bars re-litigation of Baddour's failure to disclose dual agency, which was the sole cause for rescission of the commercial lease-option transaction and the resulting injury to Plaintiffs.

Duty

Here, duty is established for reasons set forth above.

Breach

The UMFs establish that Baddour breached her fiduciary, professional, and statutory duties as a matter of law. Baddour failed to disclose dual agency, failed to confirm dual agency in writing, and failed to obtain Kaiser's informed written consent to the dual agency. The Arbitrator found that her disclosures were "inadequate or plain wrong." (UMF 25.) Those failures constitute a breach of the standard of care applicable to California real estate brokers.

Civil Code Section 2079.17

Civil Code § 2079.17 requires disclosure as soon as practicable and written confirmation in the contrary or in a separate writing acknowledged before or at execution. Subdivision (c) prescribes separate entries for the seller's brokerage and individual licensee and the buyer's brokerage and individual licensee, each identified as exclusive or dual agent. Baddour reads the individual-licensee entries out of the statute. The Court may not adopt a construction that renders statutory language surplusage. (*Tuolumne Jobs & Small Business Alliance v. Superior Court* (2014) 59 Cal.4th 1029, 1038.) If brokerage-level disclosure alone sufficed, the Legislature would not have required separate confirmation of each licensee's status. Subdivision (d) confirms the point. It makes the general agency-disclosure form "in addition to" the transaction-specific confirmation and permits an associate licensee to perform the broker's disclosure duty. It does not change what subdivision (c) requires the writing to confirm.

Horike v. Coldwell Banker Residential Brokerage Co. (2016) 1 Cal.5th 1024 does not support Baddour's contrary reading of Civil Code § 2079.17. The *Horike* court holds that associate licensees act through the broker and owe duties equivalent to the broker's duties when the brokerage represents both sides. (*Id.* at 1036-1040.) That rule does not erase the individual-licensee entries. It explains why those entries matter.

Breach of Standard of Care

A broker must exercise the care, skill, and diligence ordinarily exercised by competent brokers and owes her principal the utmost good faith and loyalty. (*Horike, supra*, 1 Cal.5th at 1036-40; *Jorgensen v. Beach 'N' Bay Realty* (1981) 125 Cal.App.3d 155, 163-64.) At minimum, that standard required Baddour to comply with California's mandatory dual-agency disclosure provisions.

The UMFs establish breach. Section 1.9(a) of the lease agreement identified Baddour as Plaintiffs' sole agent and Wichter as Kaiser's sole agent, although the brokerage represented both sides. (UMF 13; Exh. 11 at 5.) Baddour saw the error before execution but left it unchanged because she considered it immaterial. (UMF 33; Exh. 5, Baddour Test., Day Two, 153:24-154:12.) A competent broker does not knowingly leave a mandatory agency confirmation false and then claim compliance.

Ms. Newman independently confirms the point. Based on nearly three decades as a licensed broker and her review of the operative transaction documents, she concluded

that the standard of care required clear, timely, written disclosure and that Baddour's failure to correct the Lease fell below that standard. (Newman Decl., ¶¶ 2, 4–8, 12.) Expert testimony is not essential, however, where the duty arises directly from statute or basic honesty and fair dealing. (*Easton v. Strassburger* (1984) 152 Cal.App.3d 90, 106; *Ryan v. Real Estate of the Pacific, Inc.* (2019) 32 Cal.App.5th 637, 646–47.)

Opposing expert's contrary opinions do not create a factual dispute. Whether Civil Code § 2079.17 requires individual confirmation and whether Baddour "substantially complied" are questions of law. Experts may explain professional practice; they may not interpret statutes or direct the Court's ruling. (*Summers v. A.L. Gilbert Co.* (1999) 69 Cal.App.4th 1155, 1178.) Nor does *Property California SCJLW One Corp. v. Leamy* (2018) 25 Cal.App.5th 1155 assist Baddour. Ms. Newman reviewed the documents that control the disclosure issue and did not ignore contrary evidence or fill "startling gaps" with speculation. (*Id.* at 1170.) This case concerns no formatting defect. It concerns a broker who saw a false fiduciary disclosure and deliberately left it in the final Lease.

The Lease Confirmed Sole Agency, Not Dual Agency

Section 1.9(a) identifies Baddour as Plaintiffs' "sole agent" and Wichter as Kaiser's "sole agent." The individual dual-agent boxes remained unchecked. (UMF 13; Exh. 11 at 5.) Baddour admits she saw the error before execution and that she chose not to correct it. (UMF 33; Exh. 5, Baddour Test., Day Two, 153:24–154:12.) That admission resolves breach. Baddour knew the mandatory confirmation misstated the agency relationship and allowed the parties to execute it. Calling the defect "typographical" concedes the writing was wrong. Calling it "immaterial" confirms the omission was deliberate.

The LOIs (Letters of Intent), Text Messages, General Form, and Option Addendum Do Not Cure the Lease

The LOIs (which are inadmissible – see Evidentiary Objections), do not state whether Baddour or Wichter represent both sides. (AUMFs 55–57.) They do not identify their individual status as section 2079.17, subdivision (c) requires. Wichter's inadmissible December 8 text used the undefined term "we," was not acknowledged by all principals and did not provide statutory confirmation. (AUMF 62.) Other messages merely show Wichter was working with Baddour on the deal, not that Wichter worked for Baddour. (AUMFs 58–61, 62–64.)

As noted by Plaintiffs, the general Disclosure Regarding Real Estate Agency Relationships is equally insufficient. It explains possible agency relationships. Section 2079.17 requires confirmation of the relationship actually created and expressly makes that requirement additional to the general form. (Civ. Code, § 2079.17 (d).) Baddour recognizes the general form does not disclose she or Wichter were dual agents.

The Option Addendum does not cure the defect either. Its brokerage-level dual agency boxes do not correct section 1.9(a)'s specific individual sole-agent designations. (AUMFs 72, 74.) It was Kaiser's understanding that, in the Lease itself, Wichter was his

sole agent and that, if he exercised the option to purchase, Baddour and Wichter would act as dual agents then. At most, the documents conflict. Conflicting provisions do not and cannot establish informed consent. They establish uncertainty.

Parol Evidence

Paragraph 22 of the Lease integrates the Lease as the parties' final agreement. Baddour therefore cannot use preliminary LOIs to contradict section 1.9(a)'s express sole-agent designations. (Code Civ. Proc., § 1856, subd. (a); *Masterson v. Sine* (1968) 68 Cal.2d 222, 225.) Even considered for notice, the LOIs identify only the brokerage and still fail to satisfy section 2079.17.

Wichter's statements that he represented Kaiser alone, by contrast, accord with the Lease, section 1.9(a) and explain the parties' understanding without varying the Lease. (Code Civ. Proc., § 1856, subd. (b); UMF Nos. 10, 15; Exh. 7, Wichter Decl., ¶ 3.)

Baddour Did Not Obtain Informed Consent and Did Not Substantially Comply

A dual agent must disclose the dual representation and all facts reasonably affecting each principal's decision to permit it. (*Huijers v. DeMarrais* (1992) 11 Cal.App.4th 676, 686.) No such consent appears here. The writings conflict. The Lease states sole agency. Wichter told Kaiser he represented Kaiser alone. Baddour saw the error and left it uncorrected. Wichter typed the Lease. (UMFs 10, 13, 15, 33).

As noted by Plaintiffs, substantial compliance does not save Baddour. Section 2079.17 repeatedly uses "shall" and prescribes both timing and form. (Civ. Code, § 2079.17, subds. (a)–(c); *Manderson-Saleh v. Regents of University of California* (2021) 60 Cal.App.5th 674, 703–04; *2710 Sutter Ventures, LLC v. Millis* (2022) 82 Cal.App.5th 842, 862.) Substantial compliance requires compliance with the substance essential to the statute's objective. (*Malek v. Blue Cross of California* (2004) 121 Cal.App.4th 44, 72.) Confirming sole agency where dual agency exists defeats that objective. *Huijers* rejected substantial compliance when accurate disclosure came too late. (*Huijers*, 11 Cal.App.4th at 685.) Here, the operative confirmation arrived on time but said the opposite of what the law required.

Baddour's Evidentiary Objections Do Not Create a Triable Issue

See evidentiary objection section.

Causation

Baddour's nondisclosure made the Lease voidable. Kaiser invoked that defect. The arbitrator rescinded the Lease. Plaintiffs lost the rent stream, tenant-improvement obligation, and other enforceable Lease rights. (UMFs 35–42.) Undisclosed dual agency itself supports avoidance. "Double agency is a fraud on the principal."

(*McConnell v. Cowan* (1955) 44 Cal.2d 805, 809–10.) The law permits rescission to prevent an agent from occupying a position that tempts divided loyalty, even without separate injury. (*Vice v. Thacker* (1947) 30 Cal.2d 84, 90; *Gordon v. Beck* (1925) 196 Cal. 768, 772–73; *Horiike, supra*, 1 Cal.5th at 1030, 1038.)

Kaiser's financing problems do not break the chain. They explain his breach; they did not give him a legal right to rescind. (AUMF 78.) The arbitrator rejected his other grounds and rescinded because the disclosures were inadequate. (UMFs 35–39; Exh. 13, Interim Award, 8–18.) Had Baddour complied with section 2079.17, Kaiser would have remained bound by the Lease. That satisfies the “more likely than not” standard. (*Viner v. Sweet* (2003) 30 Cal.4th 1232, 1243–44.) *Montoya v. McLeod* (1985) 176 Cal.App.3d 57 recognizes that causation may present a factual question. It does not create one where the undisputed sequence permits only one conclusion. Baddour cannot create a dispute by changing positions. She first maintained that the brokerage—not she or Wichter individually—was the dual agent, then claimed all were dual agents. (UMF 14; Opp. Sep. Stmt., response to UMF 14.) An unexplained contradiction in sworn testimony does not create a triable issue. (*D'Amico v. Board of Medical Examiners* (1974) 11 Cal.3d 1, 21–22.)

\$11,810,054.37 in Actual Damages

The UMFs establish the damages element as a matter of law. California law provides a broad measure for tort damages. Civil Code § 3333 provides that, for the breach of an obligation not arising from contract, the injured party may recover “the amount of which will compensate for all the detriment proximately caused thereby, whether it could have been anticipated or not.” (Civ. Code, § 3333.) A real estate broker who negligently performs the duties of agency is therefore liable for the economic losses that result from the breach. (*Salahudin, supra*, 24 Cal.App.4th at 562, 565.)

California courts have repeatedly recognized that when a fiduciary in a real property transaction commits fraud, constructive fraud, or other fiduciary misconduct, damages are not confined to narrow out of pocket loss. Instead, the injured party may recover the full detriment caused by the fiduciary's wrongdoing under Civil Code sections 21709 and 3333. (See *Pepitone v. Russo* (1976) 64 Cal.App.3d 685; *Fragale v. Faulkner* (2003) 110 Cal.App.4th 229.)

Liability cannot be avoided because the amount of damages is difficult to ascertain. Once the fact of damages is established, uncertainty as to the precise amount does not bar recovery so long as there is a reasonable basis for computation. (*Hanlan Drydock & Shipbuilding Co. v. Southern Pacific Co.* (1928) 92 Cal.App. 230, 242; *GHK Associates v. Mayer Group, Inc.* (1990) 224 Cal.App.3d 856, 873–74.)

The Lease fixed the rights Baddour's negligence destroyed: a three-year rent stream and Kaiser's obligation to fund and complete specified tenant improvements. (UMFs 42, 44–45; AUMF 75.) Expert Luna calculated the total loss at \$12,047,693, including lost rent, taxes, utilities, tenant improvements, out-of-pocket expenses, and interest. (UMFs

44–45; Exhs. 15–18.) Kilbourne himself identifies the tenant-improvement calculation as \$9,536,235 and attacks its measure, not its existence. (Kilbourne Decl., ¶¶ 41–51.) That is a record-based valuation dispute, not proof that Plaintiffs suffered no damages. Kilbourne’s depreciation argument asks the wrong question. Plaintiffs do not seek the resale value of used equipment at surrender. They lost a present contractual right requiring Kaiser to fund and complete specified work during the Lease term. Contemporaneous construction cost measures that promised performance. Later depreciation of selected items does not erase the value of the obligation when rescission destroyed it.

Kilbourne offers no competing valuation. He identifies no ownership or removal provision, useful life, depreciation rate, salvage value, present-value adjustment, or alternative figure. He also treats permanent improvements and removable equipment alike. General criticism is not contrary valuation evidence.

Kaiser’s supposed inability to finance performance is equally speculative. The Lease imposed the obligation. Kilbourne identifies no evidence that Kaiser was insolvent, judgment-proof, or legally incapable of performing. Plaintiffs’ failure to estimate construction costs before buying the Property is irrelevant for the same reason. They seek the value of Kaiser’s later undertaking, not reimbursement for their purchase decision. (AUMFs 50–51.) Luna’s use of estimates for some expenses does not negate the loss. Kilbourne identifies no claimed category Plaintiffs did not incur and offers no corrected figure. Any refinement affects amount, not existence. Mitigation is Baddour’s affirmative defense. She must identify a reasonable step Plaintiffs failed to take and the loss that step would have avoided. (*Valle de Oro Bank v. Gamboa* (1994) 26 Cal.App.4th 1686, 1691.) Kilbourne identifies neither.

Plaintiffs also avoid double recovery. The Final Award granted \$237,638.63 in restitution for Kaiser’s limited use of the Property, plus costs and administrative fees. (UMF 40.) Plaintiffs credit the \$237,638.63 compensatory award against Luna’s \$12,047,693 total, leaving net principal damages of \$11,810,054.37. The costs and administrative fees compensated for litigation expenses, not the Lease rights lost through rescission.

Collateral Estoppel

Per the above, Plaintiffs have established that Issue 2 should be granted, by showing duty, breach, causation and damages. The purpose of collateral estoppel is to prevent inconsistent judgments undermining the integrity of the judicial system and promoting judicial economy by minimizing repetitive litigation. (See *Textron Inc. v. Travelers Casualty & Surety Co.* (2020) 45 Cal.App.5th 733, 746 (emphasis added).) The doctrine applies when an identical issue was actually litigated, necessarily decided, final on the merits, and asserted against a party or privy, and when application is fair. (*Lucido v. Superior Court* (1990) 51 Cal.3d 335, 341, 343; *DKN Holdings LLC v. Faerber* (2015) 61 Cal.4th 813, 824–826.)

Here, as explained by Plaintiffs, each requirement is met. The arbitration decided whether the dual-agency disclosures were adequate, whether the defect supported rescission, and whether rescission deprived Plaintiffs of enforceable Lease rights. (UMFs 35–39.) The parties litigated those issues through testimony and documents. The arbitrator necessarily decided them to order rescission. The Final Award incorporated those findings, and the superior court confirmed the award by judgment. (UMFs 27–32, 35–39, 46.)

Contrary to what Baddour says, *Textron* does not suggest otherwise. It involved different policies, sites, periods, and factual predicates. (*Textron Inc. v. Travelers Casualty & Surety Co.* (2020) 45 Cal.App.5th 733, 744–46.) This case involves the same Lease, disclosure, and rescission.

Privity and fairness also support preclusion. Baddour and Plaintiffs shared the same objective in arbitration: defeat Kaiser’s rescission claim and preserve the Lease. Plaintiffs litigated that issue vigorously. Plaintiffs’ evidence also shows Baddour testified at length, appeared with counsel for her testimony, defended the disclosures, and had professional and economic interests in preserving the transaction. (UMFs 27–34.) She knew an adverse disclosure finding would place her conduct directly at issue. Those circumstances support community of interest, adequate representation, and foreseeability. (*DKN Holdings, supra*, 61 Cal.4th at 826; *Grande v. Eisenhower Medical Center* (2022) 13 Cal.5th 313, 326.)

Baddour emphasizes she was not formally served with the arbitration pleadings or exhibits, did not select the arbitrator, could not examine every witness or present argument as a named party, did not control the proceeding, and could not appeal. (AUMF 80.) Those facts establish nonparty status; they do not end the privity inquiry. Due process asks whether the nonparty shared an identity of interest, received adequate representation, and reasonably should have expected the adjudication to matter. (*Citizens for Open Access etc. Tide, Inc. v. Seadrift Assn.* (1998) 60 Cal.App.4th 1053, 1065, 1069; *Clemmer v. Hartford Insurance Co.* (1978) 22 Cal.3d 865, 874; *Victa v. Merle Norman Cosmetics, Inc.* (1993) 19 Cal.App.4th 454, 464.) Plaintiffs satisfy that standard. *Bernhard v. Bank of America* (1942) 19 Cal.2d 807 does not convert formal control and appeal into rigid requirements where modern privity principles otherwise establish adequate representation. Baddour cannot rely on limited arbitral review as an independent inequity when Plaintiffs were bound by the same arbitral framework.

Vandenberg addressed nonmutual use of an arbitration award against a true stranger; it did not abolish preclusion between parties and their privies. (*Vandenberg v. Superior Court* (1999) 21 Cal.4th 815, 824, fn. 2, 828, 834–37.) Courts therefore apply arbitration-based preclusion when privity exists. (*JPV I L.P. v. Koetting* (2023) 88 Cal.App.5th 172, 185; *Brinton v. Bankers Pension Services, Inc.* (1999) 76 Cal.App.4th 550, 556; *Thibodeau v. Crum* (1992) 4 Cal.App.4th 749, 755.)

Other cases cited by Baddour require independent proof where the prior determination lacks preclusive effect. Plaintiffs provide that proof here and invoke the award only as

an alternative ground. (See *Garretson v. Miller* (2002) 99 Cal.App.4th 563, 568–69; *Church v. Jamison* (2006) 143 Cal.App.4th 1568, 1585; *Dawson v. Toledano* (2003) 109 Cal.App.4th 387, 395–99.)

This Action Is Not Barred By the Statute of Limitations

Lease section 25(b) does not bar this action. A broker's fiduciary duties arise by law, not from the contract the broker helped prepare. (*Leko v. Cornerstone Building Inspection Service* (2001) 86 Cal.App.4th 1109, 1116.) Claims based on those duties are not creatures of the brokerage agreement. (*William L. Lyon & Associates, Inc. v. Superior Court* (2012) 204 Cal.App.4th 1294, 1308–12.)

Also, the discovery rule also applies. Delayed accrual is particularly appropriate in a fiduciary relationship, and a broker may not benefit from a shortened period when the broker's own conduct delayed discovery. (*Moreno v. Sanchez* (2003) 106 Cal.App.4th 1415, 1423–1424, 1432; *William L. Lyon* (2012) 204 Cal.App.4th at 1309.) Possession of the Lease revealed its text. It did not reveal that Baddour had seen the error and deliberately left it in place. (UMF 33.) Counsel's review of commercial terms did not charge Plaintiffs with knowledge of Baddour's undisclosed state of mind. (AUMF 77.)

The clause's remaining provisions fare no better. Plaintiffs do not seek to hold Baddour liable for Kaiser's default. They seek damages caused by Baddour's own negligence, which furnished Kaiser's rescission right. The fee cap also excludes gross negligence and willful misconduct. Baddour's admitted decision to leave a known statutory defect uncorrected, at minimum, prevents summary enforcement of that limitation. Civil Code section 1668 independently bars contractual provisions that exempt responsibility for fraud, willful injury, or violation of law.

Plaintiff's motion for summary adjudication is granted. The following issues are summarily adjudicated:

- 1. Issue No. 1: issue of duty**
- 2. Issue No. 2: Plaintiff's second cause of action for professional negligence**

Moving party is ordered to submit a proposed order consistent with this ruling by no later than September 21, 2026, 5:00 p.m.

If a timely request for oral argument is made by no later than 4:30 p.m. on September 16, 2026, oral argument will be heard on September 21, 2026 at 8:30 a.m.